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Company Law – MCQ Quiz

Based on the Companies Act, 2013 — Units I, II & III

Total Marks: 20 | Total Questions: 20 | 1 Mark Each

Q1. In *Salomon v. Salomon & Co. Ltd.* (1897), the House of Lords established which foundational principle of company law?

- ☒ (A) A company is merely an agent of its majority shareholders
- ☒ (B) A company is a separate legal entity distinct from its shareholders and directors
- ☒ (C) A one-man company cannot be validly incorporated
- ☒ (D) Directors are personally liable for all company debts

Q2. Under Section 2(20) of the Companies Act, 2013, which of the following is included in the definition of 'company'?

- ☒ (A) Only a company incorporated under this Act
- ☒ (B) Any partnership firm registered under the Indian Partnership Act
- ☒ (C) A company incorporated under this Act or any previous company law
- ☒ (D) Only listed public companies

Q3. Corporate personality treats the company as a real entity with a 'group will' distinct from the sum of its members, rather than a mere legal fiction?

- ☒ (A) True
- ☒ (B) false
- ☒ (C) Partially true
- ☒ (D) None of the above

Q4. As per Section 3 of the Companies Act, 2013, what is the minimum number of members required to incorporate a private company (other than an OPC)?

- ☒ (A) One
- ☒ (B) Two
- ☒ (C) Seven
- ☒ (D) Three

Q5. 'Perpetual succession' as a characteristic of a company means:

- ☒ (A) The company must renew its registration every year
- ☒ (B) The company's existence is unaffected by the death, insolvency, or exit of any member
- ☒ (C) Directors hold office for life
- ☒ (D) Shares cannot be transferred once allotted

Q6. Which of the following is a recognised DISADVANTAGE of the corporate form of business enterprise?

- ☒ (A) Limited liability of members
- ☒ (B) Elaborate legal formalities and compliance costs
- ☒ (C) Easy transferability of shares
- ☒ (D) Perpetual succession

Q7. How does an LLP (under the LLP Act, 2008) fundamentally differ from a company incorporated under the Companies Act, 2013?

- ☒ (A) An LLP has no separate legal personality
- ☒ (B) An LLP is governed by an internal partnership-style agreement with greater management flexibility and no mandatory board structure

- ✗ (C) An LLP cannot sue or be sued in its own name
- ✗ (D) An LLP offers unlimited liability to all partners

Q8. 'Lifting the corporate veil' refers to:

- ✗ (A) Dissolving a company permanently
- ✓ (B) Disregarding the separate legal personality of a company to look at the persons behind it
- ✗ (C) Converting a private company into a public company
- ✗ (D) Merging two companies into one

Q9. Under Section 339 of the Companies Act, 2013, if in the course of winding up it appears that business was carried on with intent to defraud creditors, who may be held personally liable without limitation?

- ✗ (A) Only the company's auditors
- ✓ (B) Any persons knowingly party to carrying on the business in that manner
- ✗ (C) Only the Registrar of Companies
- ✗ (D) Only shareholders holding more than 50% shares

Q10. In Gilford Motor Co. Ltd. v. Horne, the court lifted the corporate veil primarily on which judicial ground?

- ✗ (A) Determination of enemy character during wartime
- ✓ (B) The company was a mere 'sham' or 'cloak' used to evade a legal obligation (restrictive covenant)
- ✗ (C) Protection of revenue/tax evasion
- ✗ (D) Company was formed for a public charitable purpose

Q11. Under Section 2(71) of the Companies Act, 2013, a 'public company' is one that:

- ✓ (A) Is a private company that is a subsidiary of a company which is not a private company
- ✗ (B) Restricts the right to transfer its shares
- ✗ (C) Has a maximum of 200 members
- ✗ (D) Cannot invite the public to subscribe for its securities

Q12. Which restriction is mandatorily contained in the articles of a private company under Section 2(68)?

- ✗ (A) Minimum paid-up capital of Rs. 1 lakh
- ✓ (B) Restriction on the right to transfer shares, and a cap of 200 members (excluding present/past employee-members)
- ✗ (C) Compulsory listing on a stock exchange
- ✗ (D) A minimum of 7 shareholders

Q13. Under Section 2(42) of the Companies Act, 2013, a 'foreign company' is one that:

- ✗ (A) Is incorporated in India but has foreign directors
- ✓ (B) Is incorporated outside India but has a place of business in India and conducts business activity in India in any manner
- ✗ (C) Has more than 50% foreign shareholding
- ✗ (D) Is incorporated outside India and has no connection with India

Q14. Regarding a One Person Company (OPC) under the Companies Act, 2013, which statement is correct?

- ✓ (A) Only a natural person who is an Indian citizen can be a member and nominee of an OPC
- ✗ (B) A body corporate can be a member of an OPC
- ✗ (C) An OPC must have a minimum of two directors
- ✗ (D) An OPC cannot have a nominee

Q15. Under Section 7 of the Companies Act, 2013, the Certificate of Incorporation issued by the Registrar is:

- ✓ (A) Merely evidentiary and can always be challenged to deny the company's existence
- ✗ (B) Conclusive evidence that all requirements of the Act have been complied with and the company has been duly registered
- ✗ (C) Valid only after the company commences business

☒ (D) Subject to annual renewal

Q16. Under Section 2(69) of the Companies Act, 2013, a 'promoter' includes a person who:

- ☒ (A) Is named as such in a prospectus or identified in the annual return, OR who has control over the company's affairs directly or indirectly, OR in accordance with whose advice/directions the Board is accustomed to act
- ☒ (B) Only a person who signs the Memorandum of Association
- ☒ (C) Only a professional (like a lawyer or chartered accountant) acting in that professional capacity
- ☒ (D) Only the first directors of the company

Q17. In *Erlanger v. New Sombrero Phosphate Co.*, the court held that promoters stand in what kind of relationship to the company they promote?

- ☒ (A) A purely contractual, arm's-length relationship
- ☒ (B) A fiduciary relationship requiring full disclosure of any personal profit
- ☒ (C) An agency relationship terminating on incorporation
- ☒ (D) No legal relationship until the company is incorporated

Q18. What is the legal position of a pre-incorporation contract entered into by a promoter on behalf of a company not yet formed?

- ☒ (A) The company is automatically bound the moment it is incorporated
- ☒ (B) Such a contract is void ab initio and cannot bind the company even after incorporation, though the company may adopt/ratify it via a fresh contract or under specific statutory/equitable mechanisms after incorporation
- ☒ (C) The promoter is never personally liable on such a contract
- ☒ (D) Such contracts are prohibited under the Act and attract criminal penalty

Q19. Under Section 10A of the Companies Act, 2013 (as inserted by the 2018 Amendment), a company having share capital cannot commence business or exercise borrowing powers until:

- ☒ (A) Its shares are listed on a recognised stock exchange
- ☒ (B) A declaration is filed by a director within 180 days of incorporation confirming that subscribers have paid the value of shares agreed to be taken, and verification of registered office is filed
- ☒ (C) Five years have elapsed since incorporation
- ☒ (D) The company appoints an independent director

Q20. Which of the following best describes the effect of Section 15/Section 19 (Specific Relief Act) read with common law on ratification of pre-incorporation contracts, as distinguished from ordinary agency law ratification?

- ☒ (A) It follows ordinary agency law exactly, since the promoter is treated as a validly appointed agent
- ☒ (B) It is a special statutory exception (via the Specific Relief Act read with company law principles) allowing adoption of such contracts post-incorporation, since ordinary agency law ratification is impossible where the principal (company) did not exist at the time of contracting
- ☒ (C) Pre-incorporation contracts automatically lapse and can never be enforced by or against the company
- ☒ (D) Only contracts for immovable property can be adopted post-incorporation